

Gandhar Oil Refinery — highest-ever PAT is a spread windfall, not a demand story

Sources: Q1FY27 result + press release + investor presentation (22-Jul-26), Q4FY26 investor presentation (26-May-26), Q4FY26 concall transcript (27-May-26), board outcome (22-Jul-26). No Q1FY27 concall held yet. Prepared 23-Jul-26.

Read this first — Consol PAT of ₹206cr (+689% YoY, +456% QoQ) is driven almost entirely by gross margin spread expanding 3.0x QoQ (₹9,351/kl → ₹28,145/kl). Volume grew only 7.8% YoY. Management's own May-26 guidance was "~6% EBITDA margin, quarters to come" — actual print is 16.2%, a 3x beat vs their own words. No Q1FY27 concall has happened yet to test durability.

01 LIVE SNAPSHOT

CMP ₹236.19 +3.97% same-day, 22-Jul-26	MKT CAP ₹2,312cr TTM PE 7.3x	TTM PAT ₹317cr Sep25+Dec25+Mar26+Jun26	Q1FY27 PAT ₹206cr 65% of TTM PAT in 1 quarter
---	---	---	--

02 P&L DIFF — Q4FY26 VS Q1FY27 (CONSOLIDATED, ₹CR)

METRIC	Q4FY26	Q1FY27	QOQ	YOY (VS Q1FY26)	SIGNAL
Revenue	1,093.4	1,731.9	+58.4%	+91.8%	Real growth + price
Gross profit	136.5	370.5	+171.4%	+266.0%	Spread-driven
EBITDA (margin)	63.6 (5.8%)	281.3 (16.2%)	+342.6%	+512.1%	3x own guidance
PAT (margin)	37.0 (3.4%)	205.9 (11.9%)	+455.7%	+689.2%	Clean, no exceptional items
EPS (₹)	4.2	19.65	+368%	+633%	No dilution
Gross margin spread (₹/kl)	9,351	28,145	3.0x	3.4x	Core driver — watch normalisation
Total volume (kl, qtr)	n/a	131,247	—	+7.8%	In-line with trend

03 BALANCE SHEET & CASH FLOW QUALITY

FY26 CFO / PAT 93.1% FY25 was only 17.6%	FY26 CFO / EBITDA 54.5% FY25 was 8.4%	BALANCE SHEET Debt-free (standalone) Texol carries SOFR-linked debt
---	--	--

Note: No standalone quarterly balance sheet was disclosed in these filings — FY26 annual cash-flow quality shows a genuine structural improvement (CFO/PAT recovered from 17.6% in FY25 to 93.1% in FY26), a real positive independent of the Q1FY27 spread windfall.

04 OPERATIONAL KPI DIFF — Q1FY26 VS Q1FY27

KPI (KL)	Q1FY26	Q1FY27	GROWTH	READING
PHPO (core segment)	58,379	68,815	+17.9%	Accelerating above historical trend
PIO (transformer/rubber)	14,085	17,998	+27.8%	Strong, smallest segment
Lubricants	30,482	30,073	-1.3%	Flat, consistent with EV-overhang caveat
Channel partners	18,787	14,360	-23.6%	Only shrinking line, ~11% of mix

05 POSITIVE SURPRISES – RANKED

#1 (highest materiality): Gross margin spread of ₹28,145/kl is 3.0x the prior quarter and the largest single-quarter move in the 5-quarter disclosed history — entirely responsible for the PAT beat.

#2: Texol Lubritech FZC (Sharjah) swung from "impacted, underutilized" per the Q4FY26 call to contributing ₹27.3cr PAT (13.3% of consol) in Q1FY27 — confirms the Hormuz-linked disruption management flagged has reversed.

#3: PHPO and PIO volumes accelerated to +17.9% and +27.8% YoY respectively, well above the historical high-single-digit trend — a genuine, non-price component of the beat.

#4: Interim dividend of 100% face value declared alongside results — capital discipline despite the one-off nature of the quarter.

06 NEGATIVE SURPRISES / FLAGS

Flag: Channel-partner volumes -23.6% YoY, the only contracting segment.

Flag: No updated capex-budget or utilisation figure disclosed — management had promised "more clarity in 2-3 quarters" on the May-26 call; window not yet due.

Flag (governance): MOA amended (Annexure C, 22-Jul-26 board outcome) to insert a broad new object clause permitting the company to deal, invest, trade, hedge and arbitrage in securities, bonds, derivatives, commodity derivatives and currencies — no rationale given in the filing. Worth a direct question on intended scope (hedging book vs. speculative treasury).

07 NEW GROWTH TRIGGERS

TRIGGER	CONVICTION
Geopolitical/Hormuz-driven spread capture via index-linked pricing + inventory timing	LOW – one-off/cyclical
China+1 / India-sourcing tailwind for MNC PHPO customers (P&G, Unilever, Marico)	MEDIUM-HIGH – structural
South Africa subsidiary (~₹50cr approved) — office vs plant undecided	LOW-MEDIUM – optionality

08 NEW PRODUCTS / CAPACITY

Taloja adjoining land purchased for expansion — capex budget still pending Board finalisation. No new product/vertical launch disclosed this quarter beyond the existing PHPO / Lubricants / PIO mix.

09 CONCALL RECONCILIATION – Q4FY26 CALL (27-MAY-26) VS Q1FY27 PRINT

FLAG	Management position (Q4FY26 call)	What actually happened (Q1FY27)	Status
EBITDA MARGIN SUSTAINABILITY	"Confident of maintaining current EBITDA levels, ~6%"	16.2% actual — ~3x guidance	Untested – no Q1FY27 call yet
BASE-OIL SPREAD VOLATILITY	Base oil +20-25% vs crude +10%; 35-40% pass-through + fortnightly spot resets	Spread widened 3.0x QoQ — unprecedented vs anything discussed	Mechanism explained, magnitude not
SHARJAH/TEXOL DISRUPTION	"Port virtually closed... normalized in last 15 days"	Texol delivered ₹27.3cr PAT this quarter	Resolved as described

"Currently, our exposure to the U.S. market is very minimal... Asia Pacific, African region and South America are the growth strategy for us." — Aslesh Parekh, Joint Managing Director, Q4FY26 call, 27-May-26

10 VALUATION REPRICED AT LIVE CMP

METRIC	VALUE	READ
TTM PE	7.3x	Market has NOT re-rated for the windfall
PE if Q1FY27 run-rate annualised	2.8x	Misleading — nobody should use this
PE at normalised (Q4FY26 run-rate) PAT ~₹148cr/yr	15.6x	More realistic "clean" multiple

11 RISK-REWARD SCENARIO LADDER

SCENARIO	Assumption	Normalised annual PAT	Implied PE at CMP
BEAR	Spread fully reverts to FY26 ~5.5-6% EBITDA margin from Q2FY27	₹145-155cr	~15x
BASE	Partial spread retention 1-2 more quarters, then reverts to ~7-8% margin	₹190-210cr	~11-12x
BULL	China+1/PHPO mix-shift permanently lifts blended margin to ~9-10%	₹260-280cr	~8-9x

12 FORENSIC ACCOUNTING – BASIC CHECK ON Q1FY27 RESULT

Auditor opinion: K J K & Associates (FRN 112159W) — clean, unmodified limited-review conclusion on both standalone and consolidated results. No qualification, no emphasis of matter beyond standard subsidiary-reliance disclosure.

Tax rate sanity: Standalone effective rate 24.3% (vs statutory 25.17%) — clean. Consol rate 21.9%, explainable by UAE's 9% corporate tax diluting the blend. No unusual credit inflating PAT.

Exceptional items: Nil in either quarter — the entire profit beat is operating, not aided by one-off gains or provision reversals.

Subsidiary reliance: 3 of 5 group entities (Texol, Gandhar Foundation, Gandhar Lifesciences) reviewed by local/other auditors, not K J K directly. Texol alone is now 13.3% of consol PAT via this route — standard practice, fully disclosed, but a rising share worth monitoring.

Governance: Independent director with direct petroleum-sector background (ex-IAS, ex-BPCL/ONGC) resigned; replacement (Risk Management Committee Chair) is an ophthalmic surgeon with no disclosed energy/finance expertise — a domain-expertise downgrade on a commodity-price-sensitive RMC.

Overall rating: GREEN-YELLOW. No evidence of manipulation, restatement, or fraud. Two yellow governance/disclosure watch items (RMC chair expertise; unexplained MOA widening into financial-instrument trading) worth a direct AGM/concall question — not evidence of wrongdoing.

13 UPDATED VERDICT

Thesis status: Inflected, not confirmed. This is a real, clean, exceptional-item-free quarter — but the driver is a 3x margin-spread windfall tied to Strait-of-Hormuz/geopolitical disruption, not a structural re-rating event. Volume growth (+7.8% YoY) is unremarkable; price/spread did all the work.

Action framework: Do not extrapolate ₹206cr/quarter. Anchor sizing to the Base-case normalised PAT band (₹190-210cr annualised, ~11-12x CMP) until the Q1FY27 concall (not yet held) tests whether management commits to holding any of this margin gain, or explicitly guides it back toward the historical 5.5-8% EBITDA band.

Margin-driven, not volume-driven beat

Clean audit, zero exceptional items

3x beat vs management's own guidance

Q1FY27 concall not yet held

MOA widened for financial-instrument trading – unexplained

TTM PE 7.3x – market correctly not re-rating

CF0/PAT quality structurally improved (FY26)